



Via Electronic Mail

December 21, 2023

Dr. Kristen Monaco
Director, Bureau of Trade Analysis
Federal Maritime Commission
800 North Capitol Street, NW
Washington, DC 20573
kmonaco@fmc.gov

Re: URGENT – Request for Special Permission, Red Sea Charge

Dear Dr. Monaco,

CMA CGM S.A. (“CMA CGM”) urgently requests special permission pursuant to 46 C.F.R. § 520.14 to implement an emergency Red Sea Charge at the earliest possible date. The highly exceptional reasons for this request are set forth below.

As you are likely aware, due to broadly publicized global news reports, recent attacks against commercial vessels in the Red Sea – including containerships – raise significant concerns for the safety of vessels, crew and cargo. In order to ensure the safety of crew and vessels, as well as to safeguard cargo, CMA CGM instructed containerships scheduled to pass through the Red Sea to reach safe locations. This decision to pause CMA CGM vessel operations to/from ports located near the Red Sea due to safety concerns was broadly communicated via customer advisory.

CMA CGM proactively worked to find an alternate solution for customers who continue to need cargo delivered to or loaded from ports in the Red Sea region. A feeder vessel solution was identified, which will include port calls in Jeddah, Port of Neom, Djibouti, Aden, Hodeidah, Port Sudan, Massawa, Berbera, Aqaba and Sokhna. While we’re able to offer this solution for customers, unfortunately it comes at a dramatic increase in operating costs – which reflect pass through charges that CMA CGM will incur for cargo loaded onboard relevant feeder vessels operating in the high-risk Red Sea region. Given this sudden and unavoidable increase in operating costs CMA CGM has published a new Red Sea Charge in order to recover these costs from customers who choose, despite the current aggression in the Red Sea, to ship cargo to or from Red Sea ports. The current effective date for this new Red Sea Charge is scheduled for January 20th. See Exhibit #1 hereto. However, CMA CGM would be unable to feasibly offer this feeder service solution for customers without recovering the extensive unanticipated operating costs incurred directly due to implementation of these feeders.

Accordingly, CMA CGM respectfully requests special permission to advance the effective date of the Red Sea Charge to the earliest possible date.

The filing fee for this special permission request was paid electronically. The relevant Pay.gov tracking ID is 27ABG55T and the Agency Tracking ID is 76583585512.

We greatly appreciate your consideration of this request. Please do not hesitate to contact me should you have any questions or requests for further information.

With best regards, I am

Sincerely,

A handwritten signature in blue ink, appearing to read 'Draughn Arbona', is written over a horizontal line.

Draughn Arbona
VP U.S. Compliance

Exhibit #1

Sub Rule Details Of - 157

Tariff Type	CMDU028
Rule Number	002
Rule Title	APPLICATION OF RATES AND CHARGES

RULE NUMBER	SUB RULE NUMBER	SUB RULE TITLE	FILE DATE	EFFECTIVE DATE	THRU DATE	EXPIRY DATE	AMENDMENT CODE	STATUS	SPECIAL CASE
002	157	RED SEA SURCHARGE	2023-12-21	2024-01-20		9999-12-31	1A	A	

Description

RED SEA SURCHARGE

Carrier has implemented a Red Sea Surcharge (FRT41) for all ports of load/discharge located within the Red Sea, due to the on-going safety concerns in the area. The charge will apply to all ports of load/discharge listed below:

Jeddah
Port of Neom
Djibouti
Aden
Hodeidah
Port Sudan
Massawa
Berbera
Aqaba
Sokhna

A charge of \$1,575 per TEU or \$2,700 per FEU will apply to all tariff and service contracts for all dry commodities.

A charge of \$3000 per container will apply to all tariff and service contracts for all reefers and special equipment.

Tariff Type	CMDU029
Rule Number	002
Rule Title	APPLICATION OF RATES AND CHARGES

RULE NUMBER	SUB RULE NUMBER	SUB RULE TITLE	FILE DATE	EFFECTIVE DATE	THRU DATE	EXPIRY DATE	AMENDMENT CODE	STATUS	SPECIAL CASE
002	133	RED SEA SURCHARGE	2023-12-21	2024-01-20		9999-12-31	1A	A	

Description

RED SEA SURCHARGE

Carrier has implemented a Red Sea Surcharge (FRT41) for all ports of load/discharge located within the Red Sea, due to the on-going safety concerns in the area. The charge will apply to all ports of load/discharge listed below:

Jeddah
Port of Neom
Djibouti
Aden
Hodeidah
Port Sudan
Massawa
Berbera
Aqaba
Sokhna

A charge of \$1,575 per TEU or \$2,700 per FEU will apply to all tariff and service contracts for all dry commodities.

A charge of \$3000 per container will apply to all tariff and service contracts for all reefers and special equipment.